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Restaurant surcharges could be here to stay after last-minute changes in proposed Dodd-sponsored bill

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Restaurant surcharges could still be legal after last-minute changes were made to a state bill attempting to ban all junk fees.

The latest measure, Senate Bill 1524, was introduced by Sen. Bill Dodd, D-Napa, and co-authored by Sen. Scott Wiener, D-San Francisco, and Assemblymember Jesse Gabriel, D-Encino. It is a response to questions about how the original law, SB 478, would apply to restaurant charges.

The measure, which could be adopted in the next month, says that any mandatory gratuity, service charge or other charge by a restaurant must be clearly displayed on its menu.

"Many restaurants are upfront with their business practices but too many aren't, necessitating action," Dodd said. "This proposal will level the playing field for all restaurants and address confusion and disagreement about what is permissible under state law."

SB 478 was signed by Gov. Gavin Newsom last year and bars businesses of all types from adding undisclosed fees at the end of transactions such as hidden charges on purchases including online event tickets, lodging and other transactions.

The law takes effect July 1.

"Restaurants are vital to the fabric of life in California, and they should be able to cover costs as long as they do so transparently," Wiener said in a news release. "SB 1524 clarifies portions of the law that pose a serious threat to restaurants. The bill strikes the right balance between supporting restaurants and delivering transparency for consumers, and I'm proud to support it."

The new measure has also received support from the California Restaurant Association and the Unite Here labor union.

"Cutting the pay of banquet servers and ballpark workers was never the intention of SB 478, as the bill's authors have made clear," Mario Yedidia, western political director for Unite Here said in a statement. "UNITE HERE is proud to co-sponsor this amendment, and to protect and improve the standard of hotel, food service and casino workers across California."

Matthew Sutton of the California Restaurant Association said the proposal will allow restaurants to support pay equity and further contribute to health care and other employee benefits.

"And, importantly, consumers will remain empowered to make informed choices about where they choose to dine out," he said.

You can reach Staff Writer Sara Edwards at 707-521-5487 or sara.edwards@pressdemocrat. com. On Twitter @sedwards380.

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